

Palantir Technologies Inc.

PLTR NYSE

Buy	\$190.50 ▲ 2.98%	12M Price Target \$220.00	52-Week Range \$106.37 – \$207.52	Market Cap \$457.78B
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PLTR: FAA Win Signals Broader Federal AI Land Grab

WHAT HAPPENED

- PLTR popped ~3% on news the FAA is bringing them in to help modernize air traffic control with AI. This matters more than one contract — it's the federal government signaling PLTR is the default vendor for mission-critical AI infrastructure, expanding beyond defense/intel into civilian agencies. That's a much bigger addressable market.
- Options flow is screaming bullish — call buyers piled into \$190-195 strikes at 3-6x normal open interest, meaning traders are betting on more upside near-term. Offset by insider Alex Moore dumping ~\$2M in stock last week, which is a yellow flag but not a red one at these prices.

WHY IT MATTERS

The FAA win is a template, not a one-off. The Trump administration's AI executive orders from earlier this year explicitly pushed federal agencies to adopt commercial AI platforms fast — PLTR is basically the only company with the security clearances, deployed infrastructure, and track record to move at that speed, so every new agency mandate flows through them by default. That means the government segment (already growing 50%+) probably reaccelerates into 2027 as civilian agencies (FAA, HHS, VA, IRS) follow Defense's playbook. The risk isn't demand — it's that the stock is priced for perfection at 100x+ sales, so any hiccup gets punished hard.

POLICY & POLITICAL WATCH

The big one to watch: the FY2027 defense authorization is moving through Congress with expanded AI/software modernization line items — early drafts suggest software procurement rules get loosened further, which is a direct PLTR tailwind since they've been the poster child for the "buy commercial software instead of building it in-house" push. Separately, the administration's AI Action Plan is driving agency-by-agency AI adoption mandates — the FAA news today is exactly that playbook in action. Headwind to watch: any Democratic pushback on Palantir's ICE/immigration work could resurface if political winds shift, but for now the tailwinds massively outweigh.

IS IT EXPENSIVE?

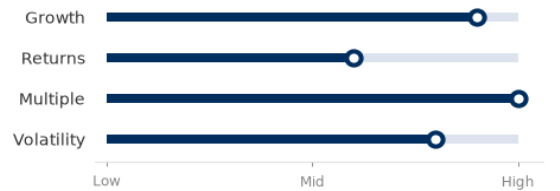
Let's be honest — this stock is absurdly expensive. Investors are paying roughly \$100 for every \$1 of revenue PLTR generates, versus maybe \$15-20 for other high-growth software names. The only way that math works is if revenue keeps compounding at 40%+ for years AND margins keep expanding — which is possible given the government tailwind, but leaves zero room for error.

WHAT COULD GO WRONG

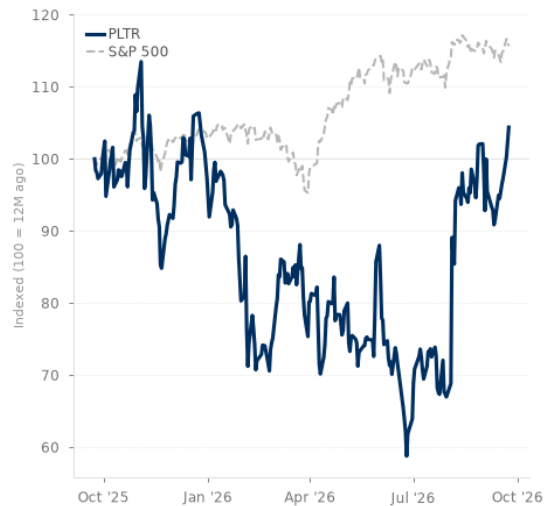
Key Data

Price (USD)	\$190.50
12M Price Target	\$220.00
Upside / (Downside)	+15.5%
Market Cap	\$457.78B
FY2026E Revenue	\$4,600M
FY2027E Revenue	\$6,200M
FY2026E EPS	\$0.68
FY2027E EPS	\$0.95
Fwd P/E	280.0x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$210.00	\$195.00	\$170.00
6 Months	\$240.00	\$210.00	\$155.00
1 Year	\$275.00	\$220.00	\$140.00
2 Years	\$350.00	\$260.00	\$120.00
5 Years	\$500.00	\$320.00	\$100.00
10 Years	\$800.00	\$450.00	\$80.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Cybersecurity and defense-adjacent AI names — the news mentioned CrowdStrike, Palo Alto, and Okta all up 4% with PLTR. This is a "government spending on secure AI" trade, driven by the administration's push to harden federal digital infrastructure.

COOLING OFF: Energy (-0.24% today, -4.93% on the week) as oil softens, and broad Healthcare is lagging on drug pricing overhang.

ROTATION WATCH: Money is rotating from mega-cap tech (which was down today) into specialty AI/security names with clearer government catalysts. That's why PLTR outperformed while the tech ETF was actually red.

RELATED PLAY: If the federal AI adoption theme keeps running, look at the picks-and-shovels — data center REITs (DLR, EQIX) and specialty compute names benefit from every new agency deployment.

WHO'S WINNING IN THIS SPACE?

- CRWD (CrowdStrike): Riding the same "federal cybersecurity mandate" wave — every AI deployment needs endpoint security to match.
- PANW (Palo Alto Networks): Benefiting from network security consolidation as agencies modernize infrastructure alongside AI rollouts.

PLTR CONTEXT: PLTR is leading its peer group today and this quarter — it's the highest-beta, highest-narrative way to play the federal AI theme, which is why it moves more than CRWD or PANW on the same news. That leadership is bullish short-term but means it also falls hardest on any sector selloff.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — I love the story and the policy tailwinds, but the valuation makes me pump the brakes on going max-size.

POSITION SIZE: 2-4% of portfolio — big enough to matter if it works, small enough that a 40% drawdown doesn't wreck you.

ENTRY POINTS: I'd rather add on pullbacks to \$170-180 than chase at \$190+. The stock has averaged one 15-20% pullback every couple of months this year — be patient.

TIME HORIZON: 12-24 months. Key catalyst: Q3 earnings (early November) and the FY27 defense budget shape in Q1 2027.

WHEN TO BAIL: If government revenue growth decelerates below 30% YoY, or if we see a major contract loss to a competitor (Anduril, Scale AI), or if insider selling accelerates dramatically.

HEDGING: Simplest way — buy protective put options that pay off if the stock drops below \$160. Costs a little premium but caps your downside on a stock that can move 10% in a day.